AOU
الجامعة العربية المفتوحة
Arab Open University

Faculty of Business Studies

B391: Management Accounting and Finance

Mid-Term Exam - Version (D)

2025-2026 / Summer Semester

12 – August – 2026

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Number of Exam Pages: 3 (including this cover sheet)	**Time Allowed: Two Hour**

Instructions:

1- Take **FIVE (5)** minutes to read all instructions carefully before attempting to write.
2- Mobile phones must be in "SWITCHED **OFF**" mode throughout the examination.
3- This is a **CLOSED** book examination. NO documents of any kind are allowed.
4- You **MUST** answer the questions using only the answer booklets provided
5- You **MUST** return the examination paper together with your answer booklets.
6- Do **NOT** write your answers in pencil except graphs/sketches
7- Students are **NOT** allowed to use any type of dictionary or mobile phones during the e
8- Students are allowed to use ***non-programmable*** calculators only (if needed).
9- Any form of cheating will **NOT** be tolerated and will subject you to AOU Cheating I

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Question 1 (25 marks)

Management accounting control systems are one of the major forms of results or output control. Discuss the five stages of management accounting control systems.

Question 2 (25 marks)

Smart Glasses LLC produces two models of sunglasses – standard and deluxe models of sunglasses. Cost and revenue data for the two models of sunglasses are given as follows:

	Standard £	Deluxe £
Selling price per unit	26	31
Variable cost per unit	10	18
Contribution margin per unit	16	13
Contribution margin (CM) ratio	62%	42%

The factory that makes the sunglasses is operating at full capacity, with the bottleneck or scarce resource being a particular assembling machine. The Standard sunglasses require two minutes of assembling time, and each unit of the deluxe sunglasses requires one minute of assembling time. Since this assembling machine already has more work than it can handle, something will have to be cut back.

In this situation, which product is more profitable? (Note: you should prove the accuracy of your answer by calculating how much extra contribution margin would be earned if one extra hour of assembling machine time were to become available).

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Question 3 (25 marks)

Salam LLC sells three products A, B and C. In 2024 the quantity sold, sales revenue, total variable costs products were:

	Products		
	A	B	C
Quantity	2,000	3,000	5,000
Sales Revenue	400,000	450,000	750,000
Variable cost	320,000	270,000	500,000

Fixed costs were *$306,000*.

Required

1. Compute the breakeven sales (units). **Prove your answer.** **[Marks: 15]**
2. Calculate the sales (in units) required to earn a target profit $102,000 **Prove your answer.** **[Marks: 10]**

Question 4 (25 marks)

The capital structure of Khalid plc comprises £20m in £1 ordinary shares and debt with a market value of £10 m. The current market value of ordinary shares is £2.25 each. Khalid plc pays corporate tax at a rate of 30% and has a beta of 1.75. The risk-free rate is 5% p.a. The equity risk premium is 8% p.a. and the credit risk premium is 5% p.a.

Required: Calculate the weighted average cost of capital for Khalid plc.

[End of Exam]

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